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Bitcoin’s true value isn’t apocalypse insurance

13 Jul 2026

Bitcoin’s True Value Isn’t Apocalypse Insurance — It’s Something Much More Important

For years, Bitcoin’s story has been dominated by an apocalyptic narrative. The idea that governments will destroy their currencies through reckless money printing, leading to fiat’s collapse, has been heavily promoted not only by traditional gold bugs, but also by many in the Austrian school of economics. In this view, Bitcoin is positioned as the money that will take over once the current system inevitably fails.

This doomer framing, however, misses Bitcoin’s deeper and more lasting importance.

Bitcoin’s true significance is not limited to crisis scenarios. It remains highly valuable even in a world where governments act responsibly. In fact, Bitcoin can comfortably fit within a traditional monetarist and neoclassical economic framework.

Consider a stable economic environment where governments run fiscal surpluses, keep inflation low and predictable, and follow a steady monetary rule similar to Milton Friedman’s k-percent rule.

In such a world, fiat would continue to serve effectively as the main medium of exchange for daily transactions. Bitcoin, by contrast, would function as a parallel monetary system — a superior store of value and long-term savings technology.

Even under a disciplined fiat regime, Bitcoin offers a unique advantage that no government currency can match: absolute scarcity. While a responsible central bank may follow a monetary rule today, that rule is ultimately enforced by human institutions and can be changed tomorrow. Bitcoin’s fixed supply of 21 million coins is enforced by mathematics and decentralized consensus — it cannot be altered.

This distinction between relative scarcity (managed by policy) and absolute scarcity (enforced by code) is powerful. Beyond scarcity, Bitcoin provides practical microeconomic benefits: it is borderless, censorship-resistant, seizure-resistant, perfectly divisible, and instantly verifiable. These features reduce transaction costs and strengthen property rights, concepts well-understood in neoclassical economics.

Historical examples support this view. Scotland’s free banking period and the 19th-century U.S. free banking era both saw private currencies successfully operating in parallel with official money. The Eurodollar market later demonstrated how a parallel financial system could thrive alongside traditional banking without replacing it.

The healthiest outcome is not monetary collapse, but peaceful coexistence. When governments accept Bitcoin’s presence and respond by maintaining monetary discipline, citizens gain access to both a stable domestic currency for daily use and a neutral, hard asset for preserving long-term wealth.

Bitcoin, understood this way, is not a radical rejection of mainstream economics. It aligns naturally with monetarist principles of rules-based money and neoclassical ideas around property rights, transaction costs, and individual choice.

The strongest case for Bitcoin is not that fiat will fail. It is that Bitcoin represents better money — even when fiat is working at its best.

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